

MEETING OF BOARD OF THE CBA

MINUTES

(26.12.2017)

Refinancing Rate of December 26, 2017

The CBA Board Meeting of December 26, 2017 attended by Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Arkadi Khachatryan.

The Board meeting opened with presentation of Situation Report as of December 26, 2017. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

It was recorded that in the fourth quarter, as expected, the 12-month inflation rate has increased, amounting to 2.2% at the end of November 2017. The inflation has been prevalingly driven by the rise in prices for products in the major commodity group “Food products”, with prices for products in “Fruits” and “Vegetables” following seasonal core inflation patterns. The quarter saw a significant increase also in butter and meat prices due to the rise in international prices for butter and pork and the export of beef, which has notably contributed to the continuous increase in core inflation. The latter, in turn, points to the rebounding domestic demand and growing inflation expectations. Moreover, the inflation expectations of the population are increasing faster due to the information regularly appearing in the press about the rise in prices for the above mentioned goods in the international market of food products and about the overestimated impact of the change in excise tax rates and customs tariffs in Armenia, starting from 2018, on domestic prices. At the same time, the Board anticipates inflation trends to persist over December, which will be driving the month’s inflation to outpace the indicator of the same reference period of the previous year, while the 12-month inflation rate will continue increasing to reach the lower bound of the confidence band by the end of the year.

The Board addressed the current economic situation: it was stated that over the past 11 months of 2017 the economic activity had remained strong, primarily owing to high growths registered in the industry and services sectors. Thus, according to actual statistical information, in January-September 2017, relative to January-September 2016, **the economic growth has been 5.0%**, and for the period January-December it is **an estimated 6.4% compared to 4.6% estimation provided in the Q4, 2017 Monetary Policy Program**. At the same time, it was noted that in the fourth quarter too, domestic demand recovered at notably faster rates

than predicted, as a result of which both private consumption and private investment are expected to report more than 2.0 pp higher growths. Rapidly expanding domestic demand continued to be driven by implementation of expansionary monetary policy, a relatively low inflation environment and high growth of remittances. Robust domestic demand, in turn, was reflected in growth rates of import, trade, economy lending, and core inflation.

The Board also discussed the external sector developments: in the fourth quarter, the pace of economic growth in the main partner countries exceeded expectations due to the rapid pace with which domestic demand rebounded. Inflationary developments in the international commodity market were largely in line with the Central Bank forecasts, with only a slight increase reported in oil prices due to reduced production volumes. As a result of the discussion, the Board admitted that inflationary trends will be maintained in international commodity markets in the upcoming months, so moderate inflationary effects from the external sector are likely.

The Board looked into the developments in the domestic financial market, indicating that on the yield curve short-term rates have largely stabilized around the policy rate, and long-term rates remained almost unchanged.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making decision on the interest rate. Two options were on the table – to leave the refinancing rate unchanged and to raise it by 0.25 pp. In time of further persisting inflation expectations and inflation risks, the Board found it appropriate to keep the policy rate unchanged, since giving the domestic demand a lasting impetus for recovery is necessary. It was summed up that all the above inflation factors are included in the forecasts for the fourth quarter and that the Central Bank always keeps an eye on the inflation developments and emergence of risks. At the same time, the Board today is more prone to believe that it will have to gradually raise the refinancing rate in the near future, in consideration of predicted developments and fulfillment of the inflation target in the medium run. As a result, **the 12-month inflation rate will be within the confidence band in the forecast horizon and stabilize around the 4% target at the end of the horizon.**

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

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**THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA
BOARD RESOLUTION**

Interest rates of operations by the Central Bank in the financial market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
 - 2.1 Lombard facility rate offered by the Central Bank to be 7.5%.
 - 2.2 Deposit facility rate offered by the Central Bank to be 4.5%.
3. This resolution shall take force on the day following the adoption thereof.

Arthur Javadyan,
Chairman of the CBA

December 26, 2017

c. YEREVAN

PRESS RELEASE
26.12.2017

At the December 26th of 2017 meeting, the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, at the level of 6.0%.

There was 2.0% inflation in November of 2017 against that of 1.0% registered in the same month of the previous year. During the month, the 12-month inflation rate accelerated and it amounted to 2.2% at the end of the month. The CBA Board anticipates that by the end of year 2017 the 12-month inflation rate will be within the lower bound of the confidence band, as was expected.

Actual developments in the external environment have been largely in line with the CBA's predictions, that is, the global economic growth kept on improving and inflationary patterns in world commodity markets persisted. In view of such developments, the CBA Board further anticipates certain inflationary effects from the external sector, as external demand recovers.

The CBA Board notes that in the period January-September of 2017, relative to the same period of the previous year, economic growth has been close to the prediction. In the meantime, the economic activity indicator for January-November has been well beyond expectations, driven primarily by high growths reported in services and industry. Domestic private demand is also expected to be higher than anticipated, as an expansionary monetary policy and low inflation environment further contribute to it. The increase of domestic demand continues to be reflected in high growths in trade and imports, as well as in the behavior of core inflation and inflation expectations.

The CBA Board finds it reasonable to leave the monetary conditions expansionary, taking into account the need to maintain a sustained recovery of demand and the overestimation of the effects of change in excise and customs duties on the inflation expectations. At the same time, the Board believes that, in light of predicted developments, a gradual offsetting of expansionary monetary conditions would be needed in the near future to fulfil the inflation target in the medium run.

The Board also admits that upside risks to the inflation deviating from the current quarter's monetary policy program are increasing and, should such risks emerge, it would take action to adjust the monetary policy directions accordingly, while fulfilling the inflation target in the medium run.

Detailed information on setting of the interest rate will be available in Press Release (Minutes on Interest Rate), to be published by January 16, 2018.

Press Service of the Central Bank of Armenia